

Impact of The Banking Crisis of 1927

1926 -> emperor Yoshihito was succeeded by Emperor Showa -> also referred to as emperor Hirohito.

many of Japans political, economic, and social problems -> continued and worsened due to his reign.

Financial crisis -> such as banking crisis in 1927 -> led to increasing public resentment towards civilian govt.

1. in 1920s -> Japan had many banks -> but many of them were small. these banks -> were focused on the small number of borrowers -> whom they loaned large amounts of money to. -> these borrowers tended to be from the same few industries.	2. These made banks vulnerable. if industries did not do well financially -> the banks would have difficulty collecting their loans. -> this was what happened after WW1. to make matters worse -> new loans that most Japanese banks issues - in 1923 -> were to companies that were not stable.
By 1927 -> there was widespread panic among the Japanese -> that banks did not have enough money due to bad debts. -> japan then fell into a financial crisis -> as people tried to withdraw their deposits -> leading to collapse of over 20 banks.	4. Collapse of banks led to widespread suffering among the common people who lost their savings.
Japanese government -> tried to deal with the crisis -> by introducing new policies -> to stabilize the banks. by early 1929 -> Most banks were stable and making profits again.	6. It seemed the crisis was over. All this was to change with the wall street crash in October 1929.